



Liquidity

24/7 tradable on Trakx.io
Third party liquidity providers



Safety

Institutional grade
Secure storage



Diversification

Low correlation to
other asset classes



100% Asset-backed

Fully auditable
Collateralised assets

For professional investors only

Trakx Diversifier

as of 01 Nov 2024

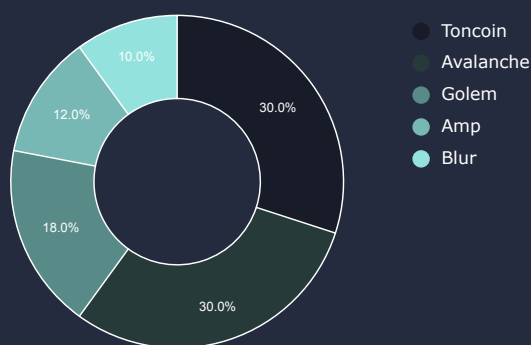
About Trakx

Trakx is a global fintech company creating new standards for digital asset investments. Through our trading platform, we offer thematic Crypto Tradable Indices (CTIs) and customised solutions, providing sophisticated investors a high degree of compliance, custody and liquidity. Trakx is registered with the French regulator (AMF).

About the CTI

This instrument is designed to replicate the performance of a basket of securities that has the lowest correlation to a traditional securities portfolio (composed of 60% ETF US Equities and 40% ETF US Bonds). The constituents of this basket (3-5 tokens) are picked through a quantitative algorithm which selects those holding the lowest 3 month correlation to the standard portfolio, and then allocates them in order to enhance the historical Sharpe ratio.

New Asset Allocation as of 01 Nov 2024



Key Benefits

Diversification enhances the risk return profile:

- Uncorrelated returns: an investor can achieve diversification and reduce the risk of losses by reducing the correlation between the returns/declines of the assets selected in the portfolio.
- Asymmetric return profile: as most digital assets are very volatile, adding a small proportion of cryptocurrencies to a traditional portfolio might give a big upside from a relative small investment.

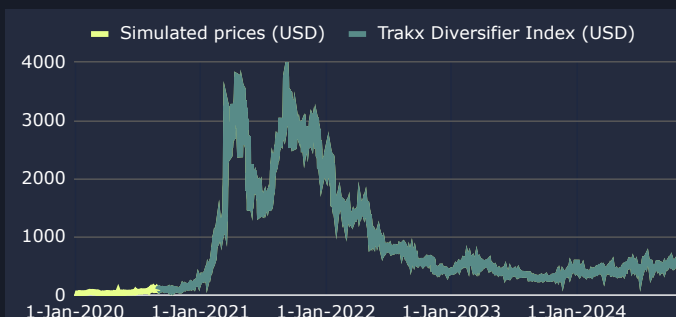
Why do cryptocurrencies have low correlation to traditional assets?

Digital asset values are derived from crypto specific drivers:

- Adoption of the protocol: the success of a coin is mainly linked to the success of its blockchain.
- Store of value: many investors see some digital assets as a store of value thanks to their capped supply. They might be a potential hedge against inflation and systemic risks caused by this oversupply of traditional money.
- Wider acceptance: Many jurisdictions have begun building regulatory frameworks for digital assets. This has fueled a boom in digital infrastructure developments.

Historical Performances

Index returns and statistics are for illustration only. All data were calculated from the historical prices of the constituents. Prior to inception on the 30th August of 2020, performances were calculated with the optimised allocation for each month. Index returns do not reflect any transaction costs or expenses. Past performance does not guarantee future results.
Source: CryptoCompare, Coingecko



	1 month	Since 30 Aug 2020	Since ** 31 Dec 2019
Index Returns (USD)	-13%	408%	1544%
Annualized Volatility	63%	101.15%	108.48%
Index Sharpe Ratio	-2.42	0.47	0.72
Bitcoin Sharpe Ratio	2.09	1.96	0.93
Max. drawdown	-16%	-93%	-93%
Correlation to S&P 500	-0.06	-0.01	-0.01
Correlation to a 60/40 pfi*	-0.03	-0.02	-0.02
Constituents Market Cap	\$24,824 million		

*simulated portfolio of 60% Equities (S&P500) and 40% of bonds (Long Term US Treasury bonds ETF)
**includes simulated performances

Key Facts

CTI (investment instrument)

Sponsor	Trakx SAS
Product Ticker	LIDIV
Investment Objective	Replicate the tokens with the lowest long term correlation to a 60/40 portfolio
Eligible Investors	Professional investors in EEA and Switzerland Not to be offered to US clients or in the US
Currency	USDc
Management Fee	2%
Performance Fee	0%
Inception Date	30 August 2020
Expiry Date	Open-Ended

Underlying Index

Name	Trakx Interoperability Index
Nb of constituents	3-5
Leverage	1
Rebalancing	Monthly
Weighting	Calculated to optimise the historical Sharpe ratio with a floor at 10% and a cap at 30%
Bloomberg ticker - FIGI	TRXDIV - BBG0169XQYP3
Data source	Kaiko, Coingecko
Custodians	Coinbase Custody, Fireblocks



Risk Factors of the Product

Prospective investors should ensure they fully understand the nature of this product and the extent of their exposure to certain risks. They should consider the suitability of this product as an investment based on their own personal circumstances and financial situation, investment experience, and investment objectives. This product could involve a high degree of risk. Potential investors should be prepared, in certain circumstances, to sustain a total loss of their invested capital. Prospective investors should also consider the following important risk factors below and discuss this investment with their trusted advisors to help verify this product is suitable for their portfolio. Note, the terms and conditions of this product are subject to change during the lifetime of the product.

Market Risks

The general market performance of this instrument is dependent on various endogenous and exogenous factors. Market disruptions such as trading or exchange interruptions, the discontinuation of trading, or other unforeseeable occurrences concerning the respective instrument and/or its underlying assets, the exchanges, market participants, and other factors may take place during the life of this product. Such occurrences can influence the timing of redemption and/or on the market value of this product. Past performance is not a reliable indicator of future performance.

No Dividend Payment

Investors should have no expectation of influence over Trakx's shareholders' general meetings as well as no rights to Trakx's earnings nor other interests in the company, such as dividends.

Termination Risk

Trakx may terminate the product if it doesn't meet the requirements of our clients. In any case, Trakx will announce the delisting thirty (30) days prior to the end date. On the last day, all relevant customer positions on "to-be" delisted CTI will be sold at their NAVs and converted to USDc onto the customers' wallets.

Liquidity Risk

At rebalancing, Trakx only includes constituents that meet minimum liquidity requirements. Trakx is not responsible for the liquidity shortage on the platform, if there is insufficient liquidity on certain constituents, customers may choose to redeem their CTI at a lower price than the NAV. Digital assets may have limited liquidity which may make it difficult or impossible for you to sell or exit a position when you wish to do so. This may occur at any time, including at times of rapid price movements.

Tax Implication

There may be a tax implication on investing in this product. Trakx does not provide any tax opinion. Any Investors should consult with their own tax advisor prior to investing in the product. In addition, investors should be aware that taxation, with respect to the underlying(s) and therefore this product, may (adversely) change over the lifetime of this product.

Foreign Exchange Risk

The investor in the product is exposed to foreign exchange rate risk if the currency of the underlying and settlement currency are not identical.

Volatility of Crypto-Assets

The value of crypto-assets may change significantly, even on an intraday basis. As the volatility of crypto-assets may currently be higher than traditional assets, changes and advances in technology, increases/decreases in fraud, theft, cyberattacks, regulatory changes, and other factors, further stress the potential of exaggerated investment gains or losses in this product. In addition, crypto-assets lack the historical track record of other traditional financial assets, thus increasing performance uncertainty.

Disclaimers

TRAKX SAS and its affiliates (collectively, the "Sponsor") are furnishing this presentation (this "Presentation") to qualified prospective investors for informational purposes only in relation to a potential opportunity to acquire Trakx Digital Asset Index product. This is neither an offer to sell nor a solicitation for an offer to acquire.

Investment in digital currency carries a high degree of risk and volatility and is not suitable for every investor; therefore, you should not risk the capital you cannot afford to lose.

Risks include loss of all capital, liquidity, absence of regulations, execution, counterparty and many more as these are still very experimental technologies. Please consult an independent professional financial or legal advisor to ensure the product meets your objectives before you decide to invest.

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The historical backtested performance of the Trakx Digital Asset Index was calculated by retroactively applying the index methodology (a financial model, or set of rules for calculating index constituents and weightings) to a historical set of data in order to arrive at hypothetical index performance. This performance history is not the performance of any actual account, but rather the result of applying a set of mathematical rules to a set of historical data in order to arrive at the hypothetical results of how the Index would have performed if it had, in fact, been in existence during the historical period. Actual returns from live baskets will differ materially from the backtested, hypothetical Index returns. Hypothetical returns do not reflect the macroeconomic risks of using an investment strategy in a different time period or the financial risk of executing trades in a live contract which include the potential market impact on cryptocurrency prices caused by buying or selling that could cause the model's buy or sell prices to differ from the frictionless trades of the back-tested model. As the backtested returns simulate the historical hypothetical performance of an Index, hypothetical investment fees associated with investing in a smart-contract tracking this hypothetical index (including trading commissions, brokerage fees, management fees, or other fees) have not been included in (by reducing) the historical performance. Although the information on this fact sheet provides some idea of the historic risks involved in investing in a smart-contract designed to track the index, past hypothetical performance is not a guarantee of future returns. Backwards-looking performance cannot predict how any investment strategy will perform in the future.

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